

9708/m/j/17 v11

1-A:

- A- Scarcity represents a situation whereby there are unlimited wants and limited resources, and as a result of which, individuals have to make choices, which gives existence to opportunity cost, this is why, key A becomes correct
- B- Scarcity does not mean government will be unable to supply public goods. Government, in all cases, will be the sole provider of “public goods”
- C- Misallocation of resources by the producer does not follow scarcity.
- D- No, this does not mean that workers must be earning low wages.

2-A:

- A- When private sector economies are allowed to bid for bus routes, they will bid for the routes that are most profitable and by bidding for bus routes, private companies can propose their plans, services, and pricing models to the government or relevant authorities, who can then select the most suitable operator for each route. **This represents that government control over bus travel diminishes.**
- B- Free bus travel for school children represents government intervention as private sector firms that operate with the objective of profit maximization are least likely to engage in it, representing “mixed economy”.
- C- Again, imposition of a “maximum price legislation” explains government intervention in form of a legally imposed price ceiling, which again represents mixed economy.
- D- Subsidy is a financial incentive: a cash or a grant payment given by the government to the producer, which reduces their cost of production, and encourages them to increase their supply. It also represents government intervention that is a feature of “mixed economy”.

3-D:

Earlier	Now
100 maize: 100 beans 1 maize: 1 bean	100 maize : 200 beans 1 maize : 200/100 beans 1 maize: 2 beans

This shows that the opportunity cost of maize has risen

Secondly, since output of beans is increasing, this represents increased efficiency in the production process, which means that “returns to factors producing beans” has risen.

This is why, option D becomes correct

4-B:

The fact that an individual buys a ticket to a govt owned art gallery represents the fact that **prices have been attached to the visit, and this would only have been in the case of “private goods”**

likewise, since there is an existence of free rider problem in the case of public goods, that is when consumers are aware that they would be able to enjoy the equal benefits associated with the good as those who pay for them, they will never be willing to pay for them ; in other words, there is no mechanism to charge prices for them .This makes it clear that the good can not be classified as a “public good”

In-case of **merit goods**, since social benefits exceed private benefits, there is an existence of external benefits, which can be seen in the case of a government -controlled art gallery , which is a source of education for individuals, which also gives birth to “positive externalities”. **This also makes it evident that it can never be a de-merit good**

This is why, key B becomes correct

5-C:

- A- A decrease in costs of production will cause a rise in the supply of the good.
- B- A decrease in popularity of the good would contribute to a fall in demand
- C- However, a decrease in subsidies provided will increase the costs of production, leading to a fall in supply, which in turn makes this option correct
- D- A decrease in the tax on the good will decrease the costs of production, resulting in a rise in supply.

6-C:

The principle line here is: “ A change in the price of the good leads to an increase in the qty demanded”

Now , the question is : “When will qty demanded extend?”. Qty demanded will extend when there is a fall in the price of the good, according to the “law of demand”

This is why, options B and D that have to do with a “rise in price” become incorrect

Next, let’s discuss the nature of inferior goods.

Inferior goods are relatively lower quality goods, and they are mostly lower priced, so a fall in price would not bring about a greater response.

Normal goods, on the other hand, are relatively higher quality goods that are luxurious in nature and therefore have an **elastic nature**. This means that a fall in price will lead to a greater response in terms of an extension in qty. This is why, option C becomes correct

7-A:

Goods with an elastic demand are usually luxurious in nature, **which means that they take up a larger proportion of incomes of individuals**

Whereas, in case of “elastic demand”, there is a greater availability of substitutes of a similar quality and price, which results in the demand being “elastic” in response to changes in prices.

8-B:

At price level 4: In this case, if we divide the Total Revenue of 400 by the price of 4, we will obtain the quantity demanded of 100 units.

At price level 5: Similarly, if we divide the Total Revenue of 500 by the price of 5, we will obtain the quantity demanded of 100 units.

At price level 6: Upon dividing the Total Revenue of 600 by the price of 6, we will obtain the quantity demanded of 100 units.

B - As can be seen above, the quantity demanded is unchanged at **100 units** at all price levels, therefore we can conclude that the demand should be perfectly-inelastic. **And also, the percentage change in prices is equal to the percentage change in total revenue.**

A – For it to have a perfectly elastic demand, the price level should be same throughout.

C – For it to have relatively elastic demand the percentage change in quantity demanded should be greater than a percentage change in price, but in this case, quantity demanded is constant. This is also incorrect as in case of elastic demand, there must be a negative relationship between price and total revenue.

D – For it to have relatively inelastic demand, the percentage change in quantity demanded is lesser than a percentage change in price, but in this case, quantity demanded remains constant. In this case, although there is a positive relationship between price and revenue, the percentage change in price and total revenue is not the same.

9-C:

A – If a business has unused productive capacity or spare capacity, it will be able to increase its output easily without a significant rise in fixed costs in response to rises in demand, therefore representing elastic demand.

B- When there are high stocks of finished product held by the firm, its responsiveness will be higher to changes in demand, as it can easily release these stocks to satisfy rising demand, thereby making the supply elastic.

C – If a product uses high proportion of perishable raw materials, its stocks of raw materials will be low, as they cannot be easily stored, which will make the supply inelastic in response to changes in demand. This is why, this will be the answer.

D – If factors of production are mobile that is they can be easily and flexibly switched or substituted, the responsiveness of the producer will be higher representing elastic supply.

10-D:

A reduction in the world supplies of oil represents a **fall in supply, or in other words, a leftward shift in the supply curve from S to S1.**

Importing countries being much colder than usual represents a rise in demand, shown through a rightward shift in the demand curve from D to D1.

This will lead to the new equilibrium being achieved, and the equilibrium price will be "P4"

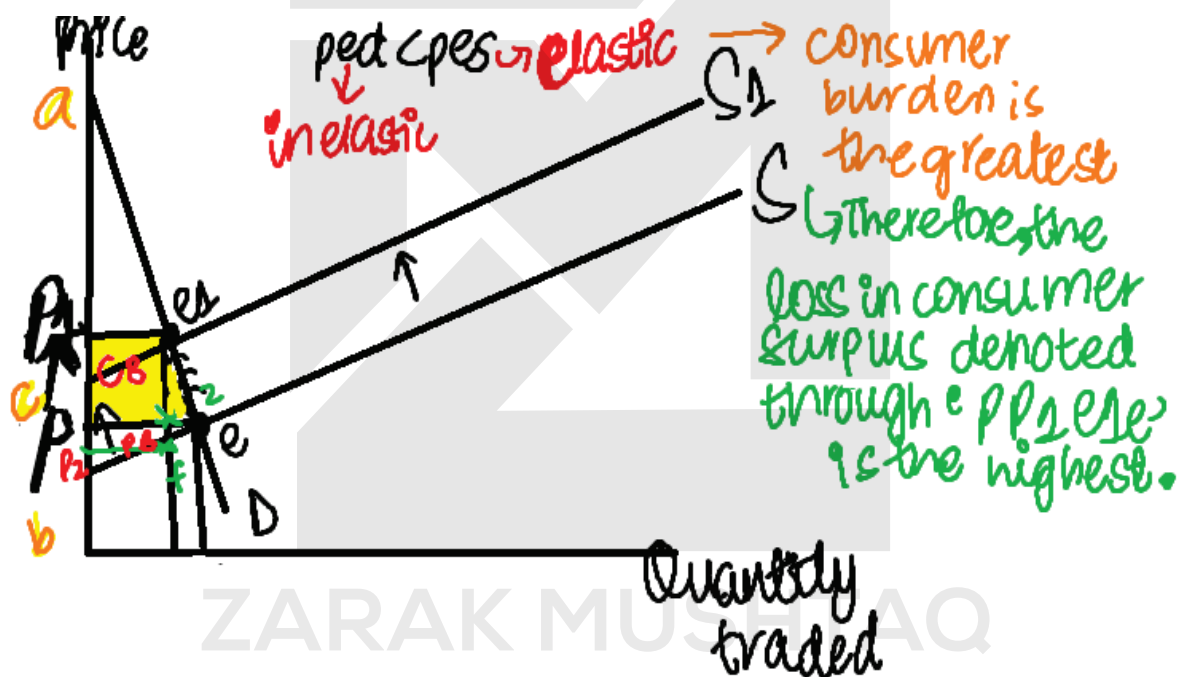
11-C:

A fall in the price of good X, will cause a fall in the demand for the substitute good, that is, good Y, since there is a positive relationship between the price of one good and demand for another in case of substitutes (therefore the cross-elasticity of demand for substitutes is positive)

A fall in the price of good X will cause a rise in the demand for good Z, that is, the complement since there is a negative relationship between the price of one good and demand for another in case of complements (therefore the XED of complements is always negative)

This is why, option C will be correct

12-C:



It can be seen here that there will be a greatest reduction in consumer surplus when the demand is price inelastic, and the supply is elastic, thus making option C correct

13-D:

	Jane			Sara			Yasmin			
	Willingness	Price	Consumer Surplus	Willingness	Price	Consumer Surplus	Willingness	Price	Consumer Surplus	
A	10	2	8	8	4	4	6	6	0	
B	10	4	6	8	4	4	6	4	2	
C	10	6	5	8	4	4	6	3	3	
D	10	6	4	8	4	4	6	2	4	

Handwritten note: willingness - price

All of them obtain the same consumer surplus at option D.

14-D:

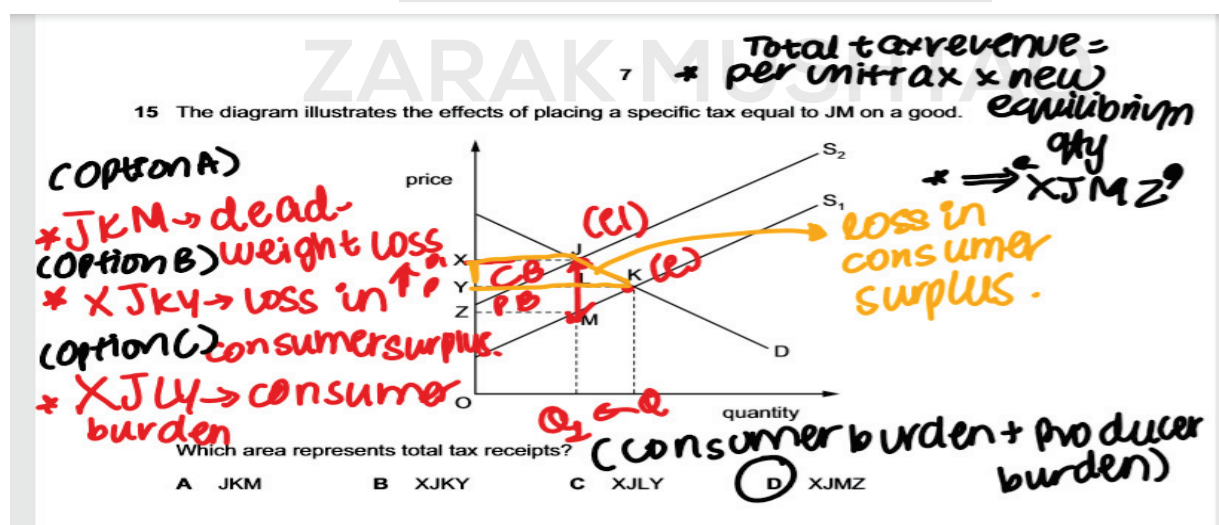
A: If the minimum price is below the equilibrium, this represents an "ineffective minimum price", that will rise back to the equilibrium, making price control ineffective, this means that there will be no effect on demand

B: If an effective minimum price legislation is imposed, this will lead to a contraction in qty demanded rather than a rise.

C: If an effective minimum price legislation is imposed, this will lead to an extension in qty supplied, representing a rise in production rather than a fall.

D: As mentioned in option A, that ineffective maximum price rises back to the equilibrium, this means that equilibrium price and qty will be maintained, thus making this option correct.

15-D:



16-B:

Subsidy is a financial incentive: a cash or a grant payment given by the government to the producer which reduces their cost of production, encouraging them to increase their supply

And, since a “specific subsidy” is provided, the supply curve will shift parallelly rightwards from “S1 to S2”

This is why option B will be correct.

17-C:

Transfer payments are payments made without goods or services being received in exchange.

In this case, pensions and welfare payments will be classified as “transfer payments”

The total will be 264 billion (153+111)

18-A:

When the govt privatizes a public sector monopoly, this means that in order to achieve their objective of profit maximization, these firms will be more consumer oriented, that is, they will do resource allocation on the basis of demand.

- A- Privatization would lead to a greater competition and when private sector firms compete with each other to provide consumers the goods and services they want, the output will increase, resulting in an increased consumer choice, which makes it correct
- B- Employment will decrease as to achieve efficiency, labor may be substituted with capital intensive techniques.
- C- Innovation is encouraged to keep up with changes in demand, rather than being discouraged.
- D- Public goods will never be provided by private sector firms in a free-market economy

19-D:

A-There must be enough spare capacity in the economy in-order for a rise in Aggregate demand to achieve a multiplier effect in terms of a rise in income, output and employment, or else there would be “hyper-inflation” in the economy, thus making this correct

B: There cannot be free trade done since the economy is a “closed economy”

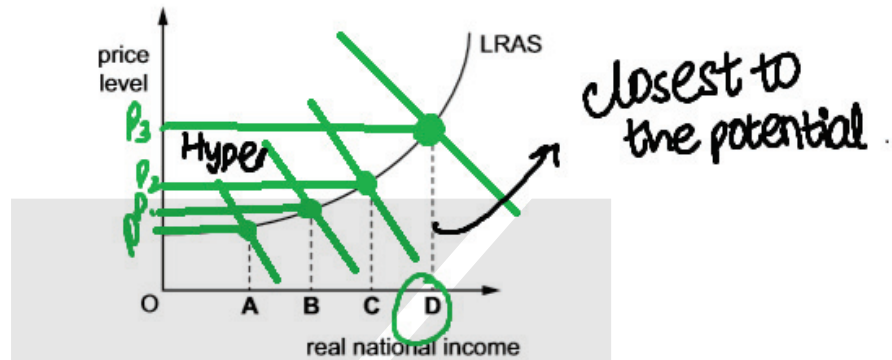
C: If there is a budget surplus, arising from a fall in government spending , injections in the circular flow, or in other words, Aggregate demand will decrease

D: If there are reduced credit facilities available, this will lower investment expenditure, again decreasing Aggregate demand.

20-D:

20 The diagram shows the long-run aggregate supply (LRAS) curve of an economy.

At which equilibrium level of national income is a balance of trade surplus likely to cause the greatest inflationary increase for the economy?



21-A:

A: A current account surplus arising from a Balance of trade surplus, that is when export revenues exceed import expenditures, would lead to a rise in net-injections into the circular flow, contributing to a rise in Aggregate demand, and when Aggregate demand outpaces Aggregate supply, this results in a rise in demand pull inflation, thus making this correct.

B: There is no connection of a current account surplus with production costs

C: When more payments are being received, this would have led to appreciation of the exchange rate.

D: A fall in money supply results in a rise in interest rates, which when increases costs of borrowing would reduce investment expenditure and Aggregate demand, leading to inflation being controlled

22-B:

A: No, this is incorrect to say that the deficit rose continuously; instead, it is shown to reduce.

B: Yes, this is correct as the annual trade deficit with the EU declines over the period, which means that it was higher in 2005 and lower in 2014.

C: Greek's annual trade deficit rose initially and then fell, making this incorrect

D: Greek's annual trade deficit with the EU was greater in actual than that with Russia, making this incorrect

23-B:

The impact of appreciation on the current account balance can be analyzed through **the information of price-elasticity of demand for imports and exports** (as illustrated through the reverse-j curve). This means that options that are not related to price for imports and exports (A and D) will be incorrect.

We are interested in an option that results in an increase in deficit

For appreciation to result in a Balance of trade deficit, the sum of price elasticities of demand for imports and exports must be greater than 1, that is elastic.

If the price elasticity of demand for imports, as stated in option B is elastic, this means that due to imported goods appearing relatively cheaper as a result of appreciation, there will be an extension in qty demanded by a relatively higher percentage resulting in a rise in import expenditures relative to export revenues as a result of which there will be an “increased deficit”

Next, for appreciation to be beneficial in terms of a Balance of trade surplus, the sum of price elasticities of demand for imports and exports must be less than 1.

Considering this if we view option C, if the demand for exports is inelastic, even after a rise in price of export-oriented commodities as a result of appreciation, there will be a contraction in international qty demanded by a relatively smaller percentage, contributing to an increase in export revenues, which when increase relative to import expenditures, results in an “increase in surplus”, making it incorrect

24-C:

Initially, in the base year when terms of trade is 100, this represents that both: export prices and import prices are 100

So, after an increase in export prices by 50 percent, the “export-price index” will be 150

And after a rise in import prices by 25 percent, the “import price index” will be 125

Terms of trade= Export prices / Import prices * 100

This means that it will be calculated through $(150/125)*100$.

This gives “120” as the answer

25-C:

Option A: Country X : 1 cloth: 3 food	Option B: Country X: 4 cloth:4 food ->1 cloth : 4/4 i.e. 1 food	Option C: Country X : 2 cloth: 4 food 1 cloth: 2 food	Option D: X: 4 cloth: 2 food 1 cloth : 2/4 i.e. 0.5 food.
Country Y: 2 cloth:4 food 1 cloth : 4/2 i.e. 2 food.	Country Y : 5 cloth:5 food 1 cloth : 1 food	Country Y: 5 cloth: 5 food; 1 cloth: 1 food.	Y: 4 cloth: 4 food 1 cloth: 1 food
Since the exchange rate does not lie between the opportunity cost ratios of two countries, both will not gain.	Since the opp. cost ratios are the same, trade should not occur as there will be no gains from trade.	Since the exchange rate(1C: 1.5F) lies between the opportunity cost ratios of two countries, both will gain.	Since the exchange rate does not lie between the opportunity cost ratios of two countries, both will not gain.

26-B:

Country A trades with B and C

Country B trades with A, C and D

Country C trades with A and B

Country D trades with B

Since country B trades with every country, it gains the “most”

27-C:

Import substitution represents switching towards domestic firms’ output

- A- Principle of absolute advantage represents a focus on qty, which is not a reason for import substitution.
- B- Trying to gain self sufficiency through producing for itself to lead to import **substitution will not be aimed at influencing world prices in international markets.****
- C- Yes, this is aimed to protect domestic industries from foreign competition. It is essential to protect sunrise, sunset and strategic industries from foreign competition, thus making this correct.
- D- No, this is incorrect as substitution of imported machines with local labor will result in the productivity being worsened.

28-B:

Budget is the difference between government spending and tax revenue

A budget surplus occurs when tax revenues exceed govt spending. Whereas, a budget deficit occurs when govt spending exceeds tax revenues.

- A- This is incorrect as the deficit is shown to increase
- B- Since there is a rise in “budget deficit”, there will be a need for “public sector borrowing requirement” making this correct.
- C- Although, there is growth due to a rise in Aggregate demand because of a rise in government spending, we can not conclude anything about a boom based on only the knowledge of budget
- D- No, this is incorrect as the yield from taxation declines.

29-B:

- A- Higher interest rates when increase the incentives to save would decrease consumption, even that on imported goods, and a fall in import expenditures would lead to an “increase in surplus”
- B- Higher investment expenditure would result in a rise in demand for labor, contributing to increased employment and this rise in incomes would lead to increased spending, even that on imported goods, contributing to a “decrease in surplus”, making this correct.
- C- Higher tariffs would result in a fall in import expenditures, resulting in an “increase in surplus”

- D- An increase in taxes would lead to less disposable incomes, and in turn a fall in consumption expenditure on imports as well, leading to a “rise in surplus again”

30-D;

The trend is that initially there was inflation, and then dis-inflation, leading towards deflation

By reversing the trend, this means that we want inflation back

- A- Tax incentives in order to encourage firms to increase their supply when leads to a rise in Aggregate supply, contributes to a fall in prices.
- B- If through this policy, wages are decreased, this means that costs will decrease, leading to a rise in Aggregate supply, leading to a fall in prices
- C- When savings are promoted, consumption will fall, which will reduce Aggregate demand and bring deflation
- D- When money supply is increased, this will lead to a fall in interest rate, which when reduce savings, and increase consumption, would lead to Aggregate demand being stimulated. And when Aggregate demand exceeds Aggregate supply, there will be shortages and in turn a rise in general price level, representing demand pull inflation.

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